

WD pitch deck

Prior-deck sizing lookup was permission-denied, so I'm using the house quarter-starter convention (0.5% of book, a quarter of a standard 2% position) directly in the deck. Here is the full pitch deck built from the two benches.

PITCH — WD — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Buy a quarter-size starter (~0.5% of book) at ~\$42.71 now; any addition is blocked until two specific verifications land (GSE-reform economics read + the November print confirming the fraud charges are finished and the dividend held).

What we believe

Walker & Dunlop is one of the largest lenders and loan servicers for U.S. apartment buildings, working mainly through Fannie Mae and Freddie Mac programs. The stock has been cut roughly in half over the past year (from a high of \$87.76 to \$42.71, about 3% above its 52-week low) after the company discovered roughly \$134M of fraud in loans it had originated, fired the responsible banking team, and began repurchasing or indemnifying the affected loans.

We believe the damage from the fraud itself is bounded and mostly finished:

- The company's own second-quarter filings put the gross exposure at roughly **\$250M** (repurchased and indemnified loans of \$193.3M with \$54.3M of markdowns already taken, plus a \$21M quarterly credit provision) — painful, but a fraction of the ~\$1.5B of market value that has been erased.
- The vetted 8-K earnings release (not just a call transcript) states the **Freddie Mac investigation is concluded with no further repurchases expected**, and the Fannie Mae reviews are “nearing the conclusion.” (Source: <https://www.sec.gov/Archives/edgar/data/1497770/000110465926091461/wd-20260806xex99d1.htm>)
- The scary-looking Q4 2025 earnings collapse was cost composition, not a broken business: that quarter's release shows **revenue flat at \$340M and loan volume up 36%**, with the earnings miss explained almost entirely by ~\$42M pre-tax of fraud-loan expenses and impairments (about \$0.94 per share after tax — which bridges the reported \$0.28 back to roughly the \$1.22 the market expected).
- The franchise grew *through* the scandal: market share up about 3.5 percentage points, servicing portfolio still growing.

If the charges truly terminate this year, we own a market-leading, growing franchise at roughly half its pre-crisis price.

What the market believes

The market is not pricing a \$250M hole — it is pricing three bigger fears:

1. **A regime change at Fannie and Freddie.** The administration is pushing to privatize the two agencies (a planned ~\$30B IPO; new 2026 purchase caps of \$88B per agency). Walker & Dunlop's core business depends on a program where it shares the first losses on loans it sells to Fannie Mae in exchange for attractive servicing fees. Privatized, profit-driven agencies could reprice those terms against the company. This risk is live, unquantified by anyone — including us.
2. **Earnings and dividend stress.** Reported (GAAP) earnings were \$0.09 per share last quarter against a \$0.68 dividend. Corporate cash fell from \$299M to \$161M in six months, against \$844M of corporate debt. The “core earnings” figure the company points to (\$1.19, up 3%) is defined to *exclude* credit provisions, write-offs, and loan repurchase losses — exactly the damage in dispute — so the market reasonably discounts it.
3. **A legal tail.** At least four law firms have announced shareholder investigations into the February disclosure. No class action has been verified as filed, but the tail exists.

The stock's failure to recover on the “investigation concluded” news suggests the market has moved on from the fraud to these larger questions.

Why we might have edge

- **The bear case's headline number is an artifact.** The scariest figure in the filings — a \$14.4B “maximum quantifiable contingent liability” on the \$69.5B of loans where the company shares losses — is decade-old boilerplate. It stood at \$14.1B in the prior period and existed essentially unchanged when the stock traded at \$90. A number that didn't move cannot be what repriced the stock. The same filing note shows a historical loss rate of 0.3 basis points and a \$49M loss allowance. (Source: <https://www.sec.gov/Archives/edgar/data/1497770/000110465926091536/wd-20260630x10q.htm>)
- **The “earnings power collapsed” story is refuted by the company's own audited-adjacent release.** Flat revenue, +36% volume, and a charge-driven bridge for the miss (<https://www.sec.gov/Archives/edgar/data/1497770/000110465926019956/wd-20260226xex99d1.htm>).
- **The termination claim is now in a vetted document**, not just a call transcript — the Freddie no-further-repurchases language is in the filed 8-K exhibit.
- **The market may be conflating** a one-time, bounded fraud cleanup with permanent impairment, at a price 3% above the 52-week low.

Why it might be priced in

Stated symmetrically — these are the reasons the court refused a full position:

- **The GSE privatization risk is real, live, and we have no model of it.** If privatized agencies cut the loss-sharing economics, the earnings power we're buying genuinely shrinks. The market's refusal to rebound may be correct, not irrational. This is the single contested leg neither bench resolved.
- **The company's "core earnings" defense is circular.** A metric defined to exclude the disputed damage cannot prove the damage is contained. Until GAAP earnings and the dividend reconcile, dividend-cut risk is unpriced in our case.
- **Part of our "bounded and terminating" story is still transcript-only.** The Q3 charge guide of \$12–16M and the claimed Freddie forbearance running to late 2027 appear in *no* vetted filing. The vetted 10-Q declining to bound the remaining liability is itself information.
- **The exposure grew, not shrank, on inspection:** our own thesis said ~\$220M; the actual Q2 filings support ~\$250M.
- The litigation tail and the possibility that the November print brings new charges are both live.

What we checked ourselves

Claim	How checked	Found	Confirmed?
\$14.4B maximum loss-sharing exposure is the reason the stock fell	Read the 10-Q note directly (proxy-fetched from SEC)	Figure is real but static — \$14.1B in the prior period, unchanged for years, existed at a \$90 stock price; historical loss rate 0.3bp	Number confirmed; interpretation refuted. RED BENCH ERROR — presented old boilerplate as the fatal new fact
Freddie investigation concluded, no further repurchases	Read the filed 8-K exhibit 99.1	The language is in the vetted filing , verbatim	Confirmed. RED BENCH ERROR — red claimed it was transcript-only; that was factually wrong
Q3 charges guided to \$12–16M "final"; Freddie forbearance to Q4 2027	Searched both the 10-Q and 8-K	Absent from every vetted document — transcript/secondary-source only	Not confirmed — red's finding stands here
"Core EPS \$1.19, +3%" proves health; dividend safe	Read the 8-K non-GAAP reconciliation	Definition excludes credit provisions, write-offs, and repurchase losses — the disputed damage itself; GAAP \$0.09 vs \$0.68 dividend; cash \$299M→\$161M vs \$844M debt	Confirmed as a real problem (circular metric, real dividend risk)
February crash = collapse of earnings power	Read the Q4 2025 release	Revenue flat (\$340M), volume +36%; ~\$42M pre-tax of fraud charges ≈ \$0.94/sh bridges the miss	Refuted — the miss was fraud-cost composition
Our own thesis's exposure math (~\$220M)	Cross-checked against Q2 10-Q	Actual figures larger: \$193.3M repurchased/indemnified with \$54.3M marks, \$21M Q2 provision → ~\$250M	OUR OWN (THESIS) ERROR — corrected

Claim	How checked	Found	Confirmed?
cap; \$153.8M/\$41.7M inputs)			against ourselves, in the bearish direction
\$1.4B servicing-rights fair value	Attempted check vs Q2 10-Q	Thesis figure is dated 3/31/26; not verified against the newer filing	Not confirmed
Live price, the claimed –19.4% crash day, print-day move	IBKR live tape	Broker access denied to both benches; pack price \$42.71 stands	Not confirmed — standing coverage gap
Next earnings date Nov 5, 2026	Data-vendor derived	No company press release names it	Not confirmed
GSE privatization is live	FHFA press release (primary) + IPO reporting	2026 caps confirmed at FHFA source; IPO plan is reporting-grade; effect on WD's economics unmodeled	Direction confirmed, magnitude unknown
Shareholder suits	Law-firm announcements only	≥4 investigations announced; no filed class action verified	Plausible, unverified

PROPOSED ENTRY BANDS

The courts did not say no-entry; they approved a gated quarter-size position. All levels below come from the benches' own numbers.

- **Immediate entry:** Buy a **quarter-size starter — 0.5% of book** (one quarter of a standard 2% position) at market, ~**\$42.71**. The court's classification: the unresolved risks are business risks, which under our rules cut *size*, not entry price.
- **Adds — condition-gated, not price-gated.** Advance to a half position only when **both** of these verifications land (this is the verification-before-advance rule; neither can be waived by price action):
 1. A completed read on what GSE privatization does to the company's loss-sharing/servicing economics (term sheet, FHFA rule, or equivalent primary document — not commentary).
 2. The Q3 print (~**2026-11-05**, date unconfirmed) showing fraud-related charges of **\$16M or less**, no new repurchase demands, and the **\$0.68 dividend held**.
- **Exit / kill conditions:** Sell the starter if the dividend is cut, if Q3 charges exceed \$16M or new repurchase demands appear, or if published GSE terms reduce the loss-sharing servicing economics. Any of these means the "bounded and terminating" premise failed.
- **Price tripwire (review, not add):** a close below **\$41.43** (the 52-week low) breaks the "damage is bounded" premise — that triggers re-adjudication, not averaging down.
- **Catalyst dates:** ~2026-11-05 Q3 earnings (unconfirmed); Freddie forbearance end claimed for Q4 2027 (transcript-only, unverified); GSE IPO timeline undated.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 41.43 (deck-provisional: 52-week-low break voids the bounded-damage premise; re-adjudicate, do not add)
- filing watch: 8-K until 2027-02-10 (deck-provisional: new fraud charges, repurchase demands, dividend action, or GSE/DUS program-term changes hit the advance)
- dated pack WD|2026-11-05: WD: Q3 2026 earnings - charges <=\$16M with dividend held advances to half; breach kills (date confirmed=False)

What remains unverified

- **Q3 charge guide (\$12–16M “final”) and the Q4-2027 Freddie forbearance** — transcript-only; absent from every vetted filing.
- **GSE privatization’s effect on the company’s loss-sharing economics** — direction and magnitude; the single biggest open leg of the thesis.
- **The \$1.4B servicing-rights fair value** — dated March 2026, not re-verified against the June 10-Q.
- **Live tape** — broker access was denied to both benches; the pack price (\$42.71), the claimed –19.4% crash day, and the flat print-day reaction are all unverified against actual bars.
- **The Nov 5 earnings date** — vendor-derived, no company confirmation.
- **Litigation status** — investigations announced; no filed class action verified (the docket screen was not run — a coverage gap, not a clean check).
- **Crowding/positioning** — the discovery/attention check could not be run this session.

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One process note: I attempted to check prior decks for the house sizing convention but the read was permission-denied this session, so the 0.5%-of-book figure encodes “quarter of a standard 2% position” — flag at adjudication if the convention differs. Per the standing dashboard rule, on approval this deck still needs the ledger upsert, edge classification, entry plan, and sensor arming — none of that has run yet; the JSON fence above is built to auto-arm the sensors when it does.